Enterprise Financing Scheme (EFS) — SMF Advisory Note

Internal advisory note for SMF member-facing officers. Summarised from Enterprise Singapore's published scheme pages. Not legal or financial advice; loan approval rests entirely with the Participating Financial Institution.

Overview

The Enterprise Financing Scheme (EFS) is **not a grant**. It is a **risk-sharing scheme**: EnterpriseSG shares the loan default risk with **Participating Financial Institutions (PFIs)** in the event of enterprise insolvency, which makes banks more willing to lend to SMEs. **The borrower remains liable to repay 100% of the loan.** This is the most misunderstood point among members, and officers should state it explicitly in every conversation.

EFS covers seven financing areas plus an overseas-FI route: Green, SME Working Capital, SME Fixed Assets, Venture Debt, Trade Loan, Project Loan, Mergers & Acquisitions, and Foreign-based FI / Multilateral Development Bank loans.

Budget 2026 changes: EnterpriseSG's pages carry the banner *"EFS enhancements will take effect 1 April 2026, as announced in Budget 2026."* The published Business Refresh Package factsheet confirms three changes effective **1 April 2026**:

- **EFS-Green extended for five years, from 1 April 2026 to 31 March 2031.**
- **EFS-M&A:** the temporary Budget 2022 expansion to cover **domestic** M&A (previously due to lapse 31 March 2026) is **made permanent**.
- **EFS-Trade Loan and EFS-SME Fixed Assets:** the facility-level loan caps are **removed** (previously S$10m per Borrower and S$20m per Borrower Group for TL; S$30m per Borrower and Borrower Group for FA) and replaced by a **combined Borrower Group maximum of S$50 million across all EFS loan facilities**.

What It Funds — the facilities most relevant to SMF manufacturing members

EFS – SME Working Capital Loan (EFS-WCL)

- **Purpose:** daily operational cashflow needs.
- **Maximum loan: S$500,000 per borrower**; overall EFS-WCL borrower group limit **S$5 million**; overall exposure limit **S$50 million per borrower group** across all facilities.
- **Maximum repayment period: 5 years**.
- **Government risk-share: 50%**, rising to **70%** for young enterprises (formed within the past 5 years, at least 1 employee, more than 50% equity owned by individuals).
- **Interest rate:** set by the PFI based on its own risk assessment.

EFS – SME Fixed Assets Loan (EFS-FA)

- **Purpose:** domestic and overseas fixed assets — equipment and machines for **automation and upgrading** (new or resale); purchase or construction of government-built and commercial-built factories and business premises (new or resale). This is the natural companion to an EDG or EEG automation project.
- **Maximum loan: S$50 million per Borrower Group across all EFS facilities** (facility-level cap removed from 1 April 2026).
- **Maximum repayment period: 15 years**.
- **Government risk-share: 50%**, rising to **70%** for young enterprises or enterprises in a challenged market (S&P rating BB+ and below, including non-rated countries).

EFS – Trade Loan (EFS-TL)

- **Purpose:** inventory/stock financing; structured pre-delivery working capital (revolving); factoring with recourse / bill of invoice / accounts receivable discounting; overseas working capital loan; **Bank Guarantee capped at 2 years' tenure**. Covers domestic and overseas transactions.

- **Maximum loan: S$50 million per Borrower Group across all EFS facilities**.
- **Maximum repayment period: 1 year**.
- **Government risk-share: 50%**, rising to **70%** for young enterprises or enterprises in a challenged market.
- Note this is **not an SME-only facility** — no SME sub-definition is published on this page.

EFS – Green (EFS-Green)

- **Purpose:** green initiatives across clean energy, circular economy, green infrastructure and clean transportation. Eligible borrower types are project developers, system integrators, technology & solution enablers, and — **since 1 April 2024** — **green solution adopters**. The adopter category is what makes this relevant to an ordinary manufacturer buying green equipment.
- **Government risk-share: 70% flat** across all loan types.
- **Loan quanta by type:** Developmental Capital **S$3 million** (up to 5 years); Fixed Assets subject to the **S$50 million per Borrower Group** across-EFS limit (up to 15 years); Venture Debt **S$8 million** (up to 5 years); Trade Loan up to 1 year; Project Loan up to 20 years; M&A Loan up to 5 years. **TO VERIFY: EnterpriseSG's published table leaves the quantum cells blank for EFS-Green Trade, Project and M&A loans.**
- **Open for applications until 31 March 2031** — applications must reach EnterpriseSG and be FI-approved by that date.

Other facilities (Venture Debt, Project Loan, M&A, Foreign-based FI/MDB) are documented on their own EnterpriseSG pages and are less commonly used by SMF's core manufacturing membership.

Eligibility

Base criteria common to EFS:

- **Business entity registered and operating in Singapore.** For EFS-WCL this includes ACRA-registered sole proprietorships, partnerships, LLPs and companies.
- At least **30% local shareholding** held directly or indirectly by Singapore Citizens and/or PRs, determined by ultimate individual ownership.
- **Group Annual Sales Turnover not exceeding S$500 million.**

Additional SME definition for the two SME-branded facilities (**SME Working Capital** and **SME Fixed Assets**): **group revenue up to S$100 million OR maximum employment size of 200 employees.**

For EFS-Green, the borrower must additionally fall within EnterpriseSG's published **Qualifying Green Sectors and Activities** and **Qualifying Borrower Types** (separate PDFs on the EFS-Green page). No SME revenue/headcount sub-definition applies to EFS-Green.

Higher risk-share is considered for: young enterprises formed within the past 5 years with at least 1 employee and more than 50% equity owned by individuals; and markets with an S&P rating of BB+ and below, including non-rated countries.

Funding Support

There is no "support level" in the grant sense. What government provides is **loan default risk-sharing with the PFI (50% standard, 70% enhanced; 70% flat for EFS-Green)**. Interest rates, collateral requirements and final approval are entirely at the PFI's discretion.

How to Apply

- **Apply directly to a Participating Financial Institution**, not to EnterpriseSG. The full PFI list is published at

https://www.enterprisesg.gov.sg/-/media/esg/files/financial-assistance/loans-insurance/efs_pfi_table.pdf

- PFIs named on the individual scheme pages include (varying by facility): CIMB, DBS, ETHOZ, FS Capital, GB Helios, GXS, HSBC, Hong Leong Finance, IFS Capital, Maybank, ORIX, OCBC, RHB, Sing Investments & Finance, Standard Chartered and UOB. **EFS-Green is limited to seven FIs** with SPO-approved Green & Sustainable Financing Frameworks: CIMB Singapore Branch, DBS, HSBC, Maybank, OCBC, Standard Chartered and UOB.
- Applications may also be routed via the **ESIMS portal**.
- EnterpriseSG also runs financing capability courses, masterclasses and workshops for enterprises.

Common Pitfalls

- **Believing the government "guarantees" the loan or forgives 50–70% of it.** It does not. The borrower repays in full; risk-share only applies on insolvency, and only between EnterpriseSG and the FI.
- **Applying to EnterpriseSG.** There is no EFS application on the Business Grants Portal — go to a bank.
- **Assuming approval.** EFS eligibility does not equal credit approval. Members with weak financials will still be declined.
- **Confusing the two turnover thresholds.** EFS base eligibility is **S$500 million** group turnover; but the **SME** Working Capital and SME Fixed Assets facilities apply a tighter **S$100 million / 200 employees** SME test.
- **Assuming caps are per-facility.** From 1 April 2026 the binding constraint for TL and FA is a **combined S$50 million per Borrower Group across all EFS facilities**.
- **Not checking EFS-Green qualifying activity lists** before assuming a "green" purchase qualifies.
- **Missing the EFS-Green sunset:** applications must be FI-approved by **31 March 2031**.
- **TO VERIFY: the detailed substance of the 1 April 2026 EFS enhancements is not published on the individual scheme pages — only a banner. Confirm with the PFI or EnterpriseSG before quoting new terms.**

Source & Last Verified

- Overview: https://www.enterprisesg.gov.sg/financial-support/enterprise-financing-scheme
- SME Working Capital: https://www.enterprisesg.gov.sg/financial-support/enterprise-financing-scheme---sme-working-capital
- SME Fixed Assets: https://www.enterprisesg.gov.sg/financial-support/enterprise-financing-scheme---sme-fixed-assets
- Green: https://www.enterprisesg.gov.sg/financial-support/enterprise-financing-scheme---green
- Trade Loan: https://www.enterprisesg.gov.sg/financial-support/enterprise-financing-scheme---trade-loan
- Business Refresh Package factsheet (Mar 2026): https://www.enterprisesg.gov.sg/-/media/esg/files/media-centre/media-releases/2026/march/mr00826_business-refresh-package.pdf
- **Last verified: 26 July 2026.**